

Is construction 9% or 14% of the economy?

A KPMG report's shares of GVA, tested against its tables and Eurostat

THE CLAIM

“...around 9% of Gross Value Added ... rising to approximately 14% once indirect linkages are factored in.”

KPMG (Steve Stivala), foreword, Construction Industry and Property Market Report 2025

Construction and real estate; report commissioned by the Malta Development Association.

Direct share is KPMG's Table 1.1; the 14% is Table 1.3.

VERDICT

LARGELY SUPPORTED

*Both figures reproduce;
bases differ.*

SUPPORTED

LARGELY
SUPPORTED

NOT
SUBSTANTIATED

MISLEADING

CONTRADICTED

MAIN RESULTS

9.1%

The direct share reproduces

KPMG: 9.1% of GVA in 2024.
Eurostat's current series: 9.6% on the same definition.

14.0%

The 14% reproduces too

EUR 3,002 million of EUR 21,378 million in KPMG's Table 1.3; its output inputs match Eurostat.

+3.2 pp

Not the same basis

The 14% counts imputed rents (owner-occupiers' housing); the 9% does not. That is 3.2 of the 4.9 points.

+1.7 pp

Linkages add less than they look

On a like-for-like basis the direct share is 12.3%, so modelled indirect linkages add 1.7 points.

2015

Old multipliers

Based on the 2015 input-output table; we could not re-derive them from Eurostat's partial Maltese table.

FAIR TO SAY

KPMG discloses its method and warns the multipliers rest on assumptions; Table 1.1 says real estate excludes imputed rents. The foreword sentence does not.

WHAT WOULD SETTLE IT

☐ The CBM or NSO multiplier table (0.55; 0.78).

☐ Multipliers from a newer NSO table.

☐ A note that 9% excludes and 14% includes imputed rents.

☐ Which NSO vintage the 2024 figures use.